



Fearnleys Dry Bulk Weekly

Mar 18, 2026

Capesize/Newcastlemax

Near-term indicators still look bullish. VLOCs piling up in Brazil, with more on the way. Further, the South Atlantic tightness model shown below remains high, and China's iron ore consumption is set to rise in the coming weeks.

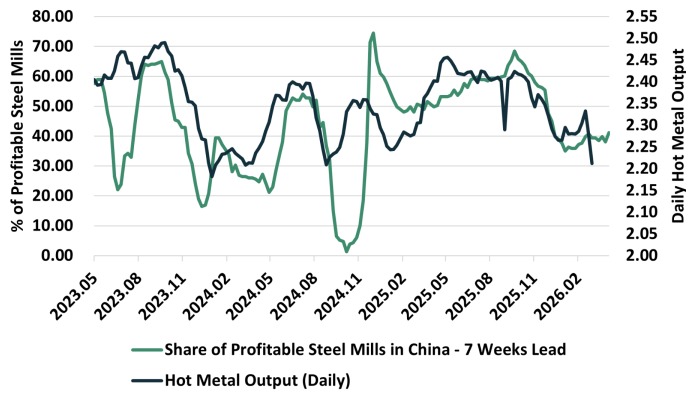
Top left chart: As expected, blast furnace output in China dipped further last week. From this week onwards, output will rise as maintenance completes. However, the share of profitable steel mills remains quite low, which suggests the increase in output might not be that great.

Top right chart: Bunker prices have surged, implying freight rates will have to surge as well to keep TCEs stable.

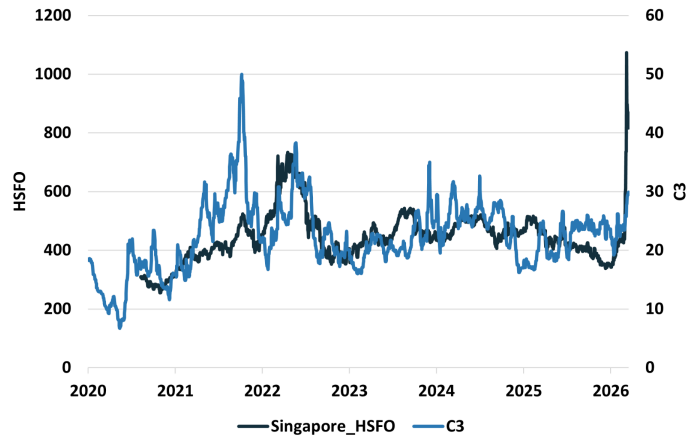
Bottom left chart: The South Atlantic tightness indicator remains very high, suggesting the market will rally.

Bottom right chart: Brazil iron ore exports are lower ytd than in the corresponding periods in 2025 and 2024.

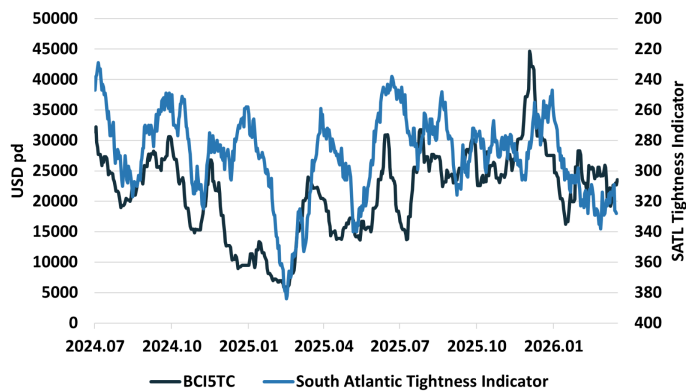
China - Hot Metal Output vs Share of Profitable Steel Mills (7 Weeks Lead)



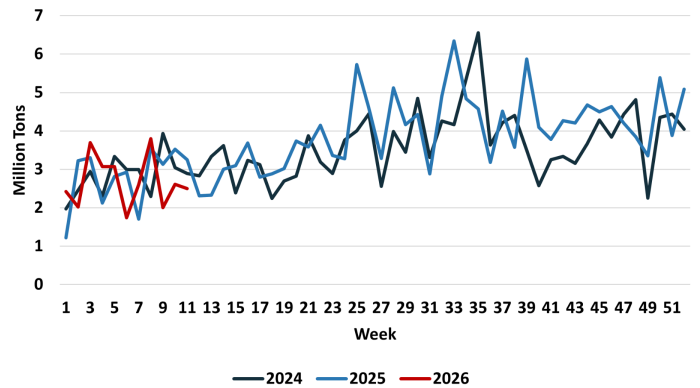
Singapore HSFO vs C3



C5TC 180 vs South Atlantic Tightness Indicator



Brazil Iron Ore Exports



Panamax/Kamsarmax

The below indicators still look toppish. Not yet any sign of a panicked switch towards coal, in spot prices or in the futures curve structure.

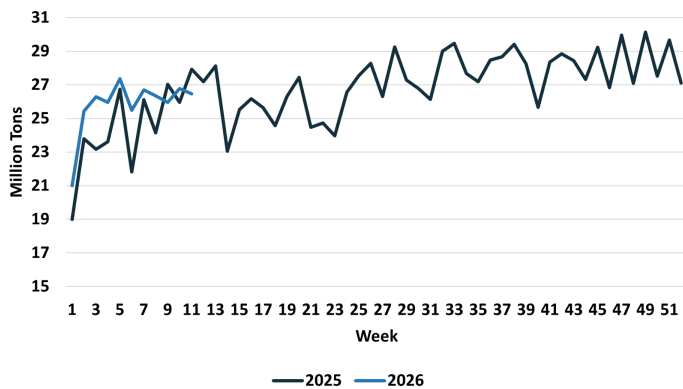
Top left chart: Shipment volumes were up 5.4% year on year through week 11. Before the Hormuz Strait closed, growth was close to 9%. Fundamentals are still positive, as supply growth is running at slightly over 3.0%

Top right chart: The coal futures curve contango increased over the last week, which is a bit surprising considering the circumstances. This suggests p5 has peaked and could decline over the next few weeks.

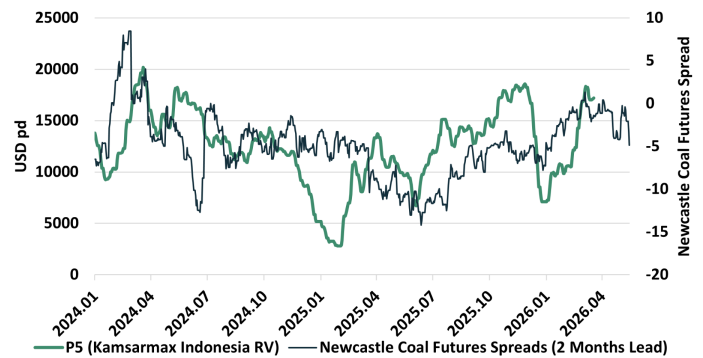
Bottom left chart: The Pacific tightness indicator has dropped sharply. This does not necessarily mean the market will drop, but it is a clear suggestion that upside is limited.

Bottom right chart: The SATL tightness indicator has continued to fall. The market is firming up a bit now, but the peak in early March could be hard to surpass. More likely, a decline awaits in April.

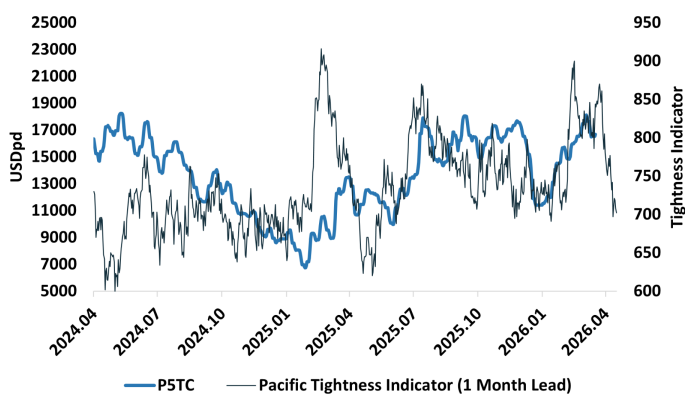
Weekly Panamax/Kamsarmax Shipment Volumes



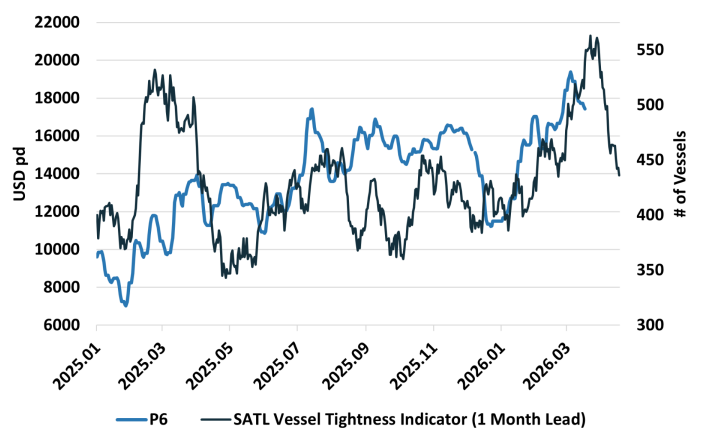
P5 vs Newcastle Coal Futures Curve Spread (Lead 2 Months)



P5TC vs Pacific Vessel Tightness Indicator (Lead 1 Month)



P6 vs South Atlantic Vessel Tightness Indicator (Lead 1 Month)



Supramax/Ultramax

Industrial metals prices are displaying weakness. Copper, Aluminium, Zinc and Nickel are all falling noticeably. The peak market range in the last 9 months has been between 17.000 USD pd and 19.000 USD pd. We find it unlikely that the market will rise higher than this in the coming months. It is also questionable whether the market will manage to stay within that range going forward.

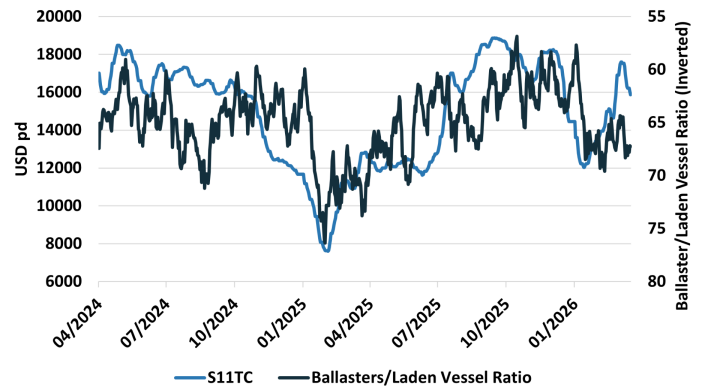
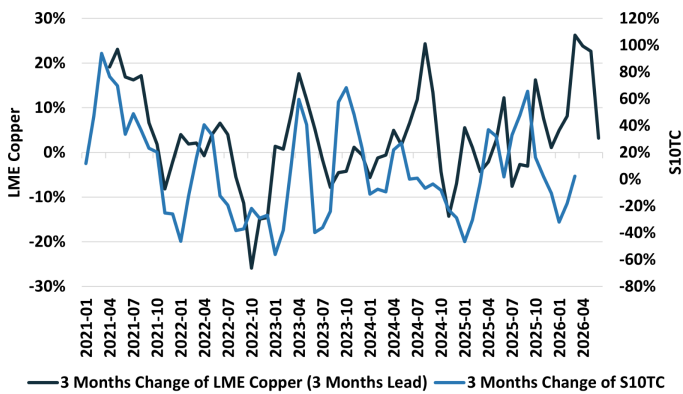
Top left chart: The three-month change in the price of copper has fallen noticeably. Usually, there is a lag of a few months before the same development is seen in the Supramax/Ultramax market. The correlation is still not suggesting the market will fall significantly, but rather that the upside is highly limited going forward.

Top right chart: The chart compares the ballaster/laden vessel ratio against the S11TC index. A low ballaster/laden vessel ratio reflects a tighter market balance.

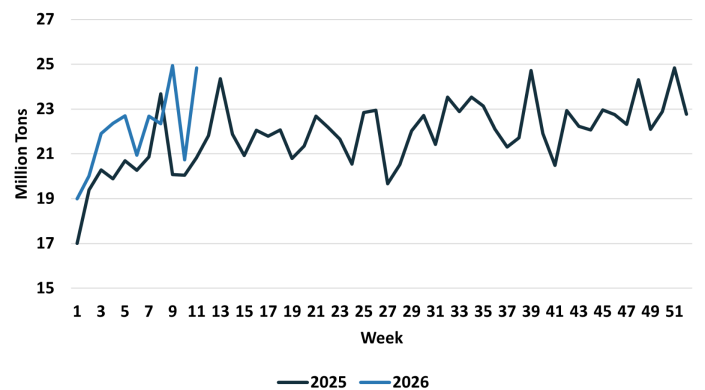
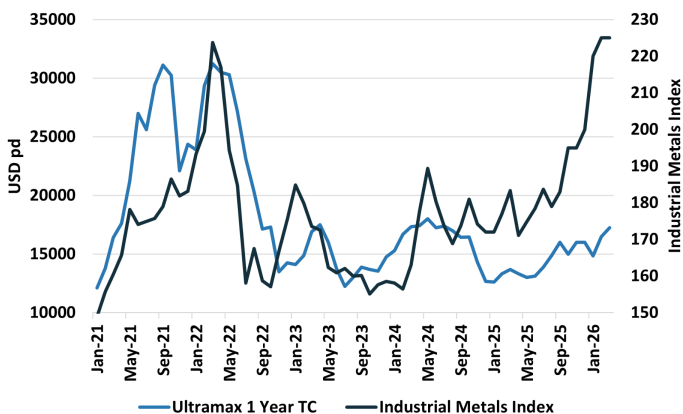
Bottom left chart: Industrial metals prices have displayed weakness in the last couple of months. We held the view before this year that 1-year TC rates likely would exceed the peak reached in 2024. This now seems much less likely, as fundamentals have taken a hit from the consequences of the Iran war.

Bottom right chart: Shipment volumes were up 8.7% year on year through week 11.

Copper Price 3 Months Change, 3 Months Lead S11TC vs Ballaster/Laden Vessel Ratio vs 3 Months Change of Supra 10TC



Industrial Metals Index vs Ultramax 1 Year TC Weekly Supramax/Ultramax Shipment Volumes



Handysize

Near-term, the Handysize market is likely to continue to be pressured by the falling Supra/Ultra market. Shipment volumes remained strong in the Handysize segment as of last week, but downside macro risks are increasing. Not only from surging energy prices, but some recent weakness has also appeared in industrial metals prices, as well as a strengthening US dollar.

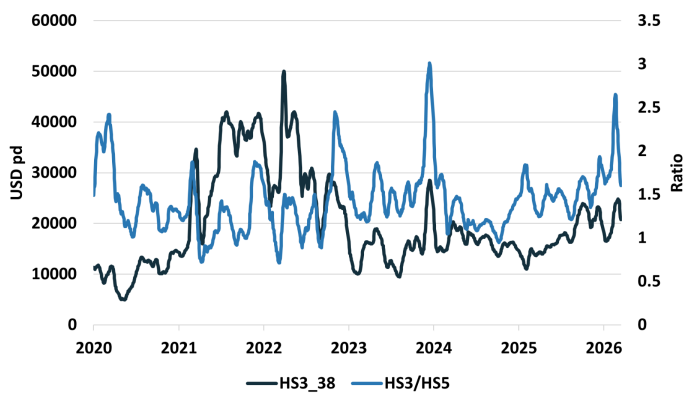
Top left chart: The ratio between Rio-Recalada / Skaw-Passero (HS3) and SEA / Singapore-Japan (HS5) is usually a good predictor of tops and bottoms of the HS3 route. A higher ratio suggest a market top, and a lower ratio suggest a market bottom.

Top right chart: Through week 11, Handysize shipment volumes were 6.6% higher than the same period in 2025.

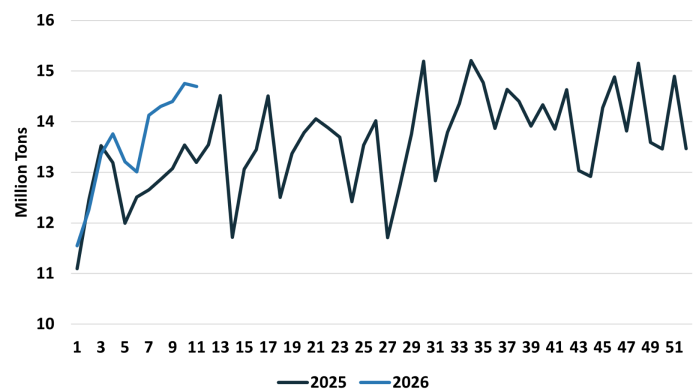
Bottom left chart: The correlation between the S11TC and HS7TC is over 90%. The correlation is even higher when the S11TC index is shifted forward a few days, which means that movements in the S11TC index often leads the movements of the HS7TC. Further downside in the Handysize index is likely over the next week.

Bottom right chart: The changes in the price of copper usually leads the changes in second-hand values, by about 6 months. Positive momentum for values are still suggested for the coming months, though also a potential peak in the middle of this year.

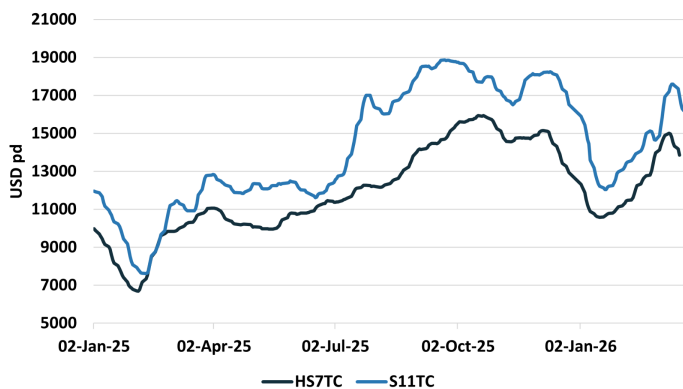
HS3 vs Ratio of HS3 and HS5



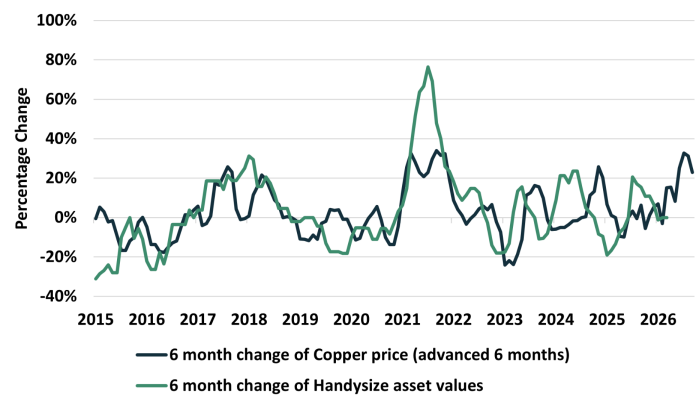
Handysize Weekly Shipment Volumes



S11TC Shifted 1 Week Forward, vs HS7TC



Copper Price Changes (Lead 6 Months) vs Handysize 10 Year Old Changes





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